

AGL pitch deck

PITCH — AGL — VERDICT

ADJUDICATED 2026-08-07 — DECLINE. No long, no short (the setup is squeeze-shaped: 16.8M shares, 96.8% implied volatility). Watch to the Q3 print.

What we believe

agilon health runs Medicare Advantage risk contracts with primary-care physician groups. It nearly died — the stock hit \$7.48 intraday in February 2026 — and then reported the two best quarters in its history: \$53.8M and \$69.6M of Adjusted EBITDA, against a full-year guide that started the year at breakeven.

We believe three things, and none of them make this a buy today.

First, the turnaround is real but its quality is unproven. The full-year guide went \$0M → \$25M → \$85M at the midpoint. Of the most recent \$60M raise, **\$49.6M (83%) is the second quarter beating its own guidance — money already earned, looking backward.** Only \$10.4M is a better view of the second half. That's fine; it's just not a forward story yet.

Second, the second-half loss everyone panicked about is normal for this company. The guide implies a second half of roughly −\$38M. That triggered a −19.5% single-day drop. But the second half has been materially worse than the first half in **four years out of four** (average gap −\$181M), because agilon books favorable claims development on last year's reserves in the first half and eats the physician profit-share true-up and Q4 utilization in the second. The 2026 implied swing of −\$162M is *better* than the 2023–25 average. Our own first-pass screen flagged this as management hiding something. It was wrong, and both benches said so.

Third, what actually stops us is price and a 2027 hole. Strip out the government ACO programs and strip out the favorable reserve releases, and the core Medicare Advantage business earned roughly **\$21.6M in 2026 on a development-neutral basis.** A generous 2027 core, assuming zero ACO recovery, is \$50–60M. Against today's enterprise value of about **\$1.38B** (16.785M shares at \$95.40, plus \$31.5M of debt, less \$257M of cash and securities), that's **23–27× EBITDA** for a company that has never produced a positive year of operating cash flow. The two cleaner comparables trade at 15.7× and 16.6×. We would be paying a premium for the messier balance sheet.

Nothing here is a short. A name up more than tenfold in six months on 16.8M shares at 97% implied volatility will hurt anyone who fades it on valuation.

What the market believes

The market believes the Medicare Advantage book has turned. And it has a decent case: capitation rates per member per month rose about 19% year over year against a reserved cost trend in the low-7% range. That spread is the whole thesis. Membership is down 10% (Medicare Advantage down 12%), and the bull reading is that this is deliberate pruning — agilon walked away from bad markets and bad payors, and what's left prices correctly.

The market also believes the second-half loss is seasonal, not deterioration, which is correct. And it believes the ACO REACH program ending on 2026-12-31 is a known, absorbed fact — the annual report disclosing it was filed 2026-02-25, and the stock went from \$7.91 to \$30.94 in the twelve sessions after it. The market read that risk factor and re-rated the equity 291% anyway.

The August 6th sell-off was not about honesty. It was the third-quarter guide: **-\$5M to +\$5M, right after delivering \$70M**. That was a shape surprise to anyone who hadn't run the four-year history.

Why we might have edge

1. The 2027 gap is specific to this company, and we sized it. About \$25–30M of the \$85M full-year guide comes from ACO model entities. That program terminates 2026-12-31. Its replacement, the LEAD Model, starts 2027-01-01 with undefined benchmarks and risk adjustment, and agilon's own annual report says those unknowns “will have a significant impact on **whether** agilon will participate.” We checked whether this was a sector-wide problem. It isn't: Privia Health's Q2-26 10-Q contains **zero** occurrences of “REACH” and zero of “LEAD Model.” Our blue bench went looking to prove the risk was shared and proved the opposite — against its own argument.

2. The comparison everyone runs is the wrong one. On headline numbers AGL looks like the cheap one in the group (~14.5× versus PRVA 16.6× and ALHC 15.7×). Take out the ACO contribution — which has a statutory expiry — and it's **21.4×**, roughly a 30% premium, with the weakest growth and the only negative free cash flow in the set.

3. There's a quality-of-earnings wrinkle in the ACO number. The \$34M of first-half “ACO contribution to Adjusted EBITDA” sits on top of \$4.1M of actual GAAP net income at those entities. The bridge is **\$29.7M of add-backs eliminating administrative fees agilon charges the ACOs it doesn't consolidate**. Those fees went from \$4.3M in Q2-25 to \$12.4M in Q2-26 — roughly triple. The method is disclosed and eliminating intercompany charges is defensible. But it means most of that \$34M is a fee-elimination artifact, not economics that survive the entity going away.

4. The banks tightened, quietly. Two credit-agreement amendments in four months (2026-02-12 and 2026-04-09). The February one requires **103% cash collateralization of every outstanding letter of credit** and **a minimum \$50.0M of total cash at the end of each business day**. Revolver availability is down to \$20.8M against \$69.2M of letters of credit outstanding. None of this is a cliff — maturity is February 2028 and the company was compliant at 6/30 — but lenders did not require this before.

Why it might be priced in

Honestly, most of it may be.

- **The termination date has been public since February** and the stock nearly quadrupled after it was published.
- **The ACO programs funded none of the raise.** The footnote said “\$25–30 million for fiscal year 2026” in *both* the May and the August releases. The guide rose \$60M; the ACO assumption didn’t move a dollar. All of the raise came from the core Medicare Advantage business.
- **The migration path is already demonstrated.** agilon moved three of its ACOs from REACH to MSSP — a permanent statutory program, not a demonstration — a full year before the deadline, and elected the Enhanced Track with real two-sided risk. The 2027 transition is a maneuver they’ve already run.
- **The claims development is disclosed with a number**, in the standard actuarial rollforward, both directions, with the prior-year comparative beside it.
- **The cash held up.** Total cash including restricted *rose* \$5.1M in the first half of 2026, against a \$22.4M decline in the first half of 2025. And Q1-2026 operating cash flow was **+\$23.7M — the first positive first quarter in the company’s public history.**
- **The working-capital shape is industry-standard.** Receivables peak in Q2 and drain through Q4 every year; the second half is the collections half. PRVA — net cash, no debt, raising every metric — also runs negative first-half operating cash flow (–\$11.5M) and names the same driver.

The strongest bear case that remains is simply **price**: 23–27× a generous, development-neutral 2027 core. That is a valuation objection, not a fraud objection, and valuation objections are resolved by waiting, not by shorting.

What we checked ourselves

Primary sources, constructed from EDGAR accession numbers: 10-Q Q2-26 — <https://www.sec.gov/Archives/edgar/data/1831097/000162828026053355/> · Q2 earnings 8-K — <https://www.sec.gov/Archives/edgar/data/1831097/000162828026053328/> · FY25 10-K — <https://www.sec.gov/Archives/edgar/data/1831097/000162828026011655/>

Claim	How checked	Found	Confirmed?
Q2-26 Adjusted EBITDA \$70M; H1 \$124M	Read 8-K Ex-99.1 line by line	\$69,571k and \$123,410k exactly; Q1 derived \$53,839k	Yes
Guide raised \$10–40M → \$75–95M	Compared the May and August guidance tables	Both endpoints confirmed	Yes
Implied second half is a loss	Subtraction from the company’s own tables	–\$48.4M to –\$28.4M	Yes
Our screen called this “raises guidance” headline masking	Ran the same subtraction on the <i>May</i> release	May already implied a –\$48.8M second half; August implies –\$38.4M. The forward half improved \$10.4M . Nothing got worse on 2026-08-05	No — our own screen was wrong. Flag withdrawn

Claim	How checked	Found	Confirmed?
Our screen said the stock fell 30%+ on the print	Pulled the daily bars	One-day reaction was -19.5% (\$107.85 → \$86.83). The -33% is peak-to-trough over three weeks and its first leg (-16.4% on 7/23) came before the print	No — our own premise was wrong. Corrected
Second-half weakness is structural, not new damage	Pulled quarterly net income from XBRL, 2022–2025	Worse in 4/4 years; mean gap – \$180.6M; 2026’s implied –\$162M is inside that range and better than the 3-year mean	Yes
Red bench: “~32% of the raised guide comes from a terminating program”	Compared footnote 3 in the May vs. August releases	Identical text both times: \$25–30M. ACO funded \$0 of the \$60M raise . Red read a <i>level</i> as an <i>increment</i> — the exact error red had just convicted the screen of committing	No — red bench error. The exposure is real; the framing was wrong
Red bench: “liquidity fell \$99.5M, -35%, during the best quarters”	Read the cash-flow statement and Note 8	\$71.6M of that is a 103% letter-of-credit collateralization reclass — cash moved one line down the same balance sheet. Total cash rose \$5.1M . True consumption ≈ \$27.9M, not \$99.5M **No — red bench error, 3.6× overstated** **Red bench: "favorable development is never quantified anywhere"*** Read Note 6, the medical-claims rollforward It's quantified to the thousand, both directions: prior-year incurred **\$(35,854)k in H1-26 vs +\$36,584k in H1-25.** Red compared risk-adjustment revenue development to medical-claims development — different lines	No — red bench error
Red bench’s central quote on the LEAD Model	Pulled the full sentence from the 10-K	Red’s ellipsis removed “ including two-sided risk options and capitated population-based payments ” — the exact clause where CMS commits to preserving the payment form agilon’s ACOs depend on	No — red bench elision. Serious; the strongest kill rested on a trimmed quote
Red bench: “2027 starts on a smaller membership base regardless”	Compared guided <i>average</i> vs <i>exit</i> Medicare Advantage members	Average 438–443k, exit 435–445k. 2027 starts roughly flat to the 2026 average. The -12% is a 2026-vs-2025 comparison that doesn’t repeat	No — red bench error
Is the policy risk sector-wide?	Searched PRVA’s Q2-26 10-Q	Zero “REACH,” zero “LEAD Model.” The risk is specific to AGL	Yes — and this cut against the bench that ran it
Reverse split ratio	8-K 2026-03-30 and 10-Q Note 1	1-for-25 , effective 2026-03-30. 16.785M shares outstanding	Yes
“\$257M of cash and securities”	Reconciled the release to the balance sheet	\$71.6M is restricted . The release uses no “restricted” qualifier. Applied identically in Q1 and Q2, so consistent — but it overstates spendable cash by 28%	Partly — presentation is misleading, treatment is consistent
Medical margin by physician-group cohort	Searched both the 10-K and the 10-Q	No cohort table exists in either filing . It’s investor-deck-only, and we	No — unverifiable

Claim	How checked	Found	Confirmed?
		couldn't fetch the deck	
Which markets and payors were exited	Searched all three documents	Described only as “previously disclosed market exits.” No market is named anywhere	No — unverifiable
2027 Medicare Advantage rate environment	Attempted cms.gov	HTTP 403. Web-search budget was exhausted (200/200) before either bench opened. Neither bench read the rate announcement, the LEAD Model terms, the earnings call transcript, or any sell-side estimate	No — open hole. Unverifiable is not clean, and it cuts against the long

A note on the tape. Both benches priced off the 2026-08-06 close of \$86.83. Today's mark is **\$95.40** — the stock has recovered about 10% in the twelve days since adjudication, which pushes the reopen band further away, not closer. Also, the closed-market quote of bid 55.00 / ask 97.50 that appeared in the snapshot is stale and not executable; don't price anything off it.

PROPOSED ENTRY BANDS

There is no entry. No long, no short, no order staged. The courts reached DECLINE, and these are the reopen gates, verbatim from the adjudication:

- **Q3-26 print:** Note 6 favorable development sustained **AND** 3.0% risk-score assumption held **AND** membership stabilizes → re-triage
- **LEAD participation announced with terms** → re-court
- **Price** ≤ ~\$55–60 (red's level) → re-look

Why \$55–60 and not something else — this comes out of the benches' own arithmetic, not a round number:

Price	Market cap (16.785M sh)	Enterprise value (+\$31.5M debt, – \$257.3M cash)	Multiple of the \$50–60M development-neutral, zero-ACO 2027 core
\$95.40 (today)	\$1,601M	\$1,375M	23–27×
\$86.83 (court date)	\$1,457M	\$1,232M	21–25×
\$60	\$1,007M	\$781M	13–16×
\$55	\$923M	\$697M	12–14×

At \$55–60 we'd be paying a **discount** to PRVA (16.6×) and ALHC (15.7×) for the harder book. At \$95.40 we're paying a 40%+ premium to both. That's the whole gap, and it is 37–42% below today's price.

Sizing if a gate ever trips: nothing pre-committed. A name at 96.8% implied volatility on a 16.8M-share float does not get a normal position; if we re-court and it clears, the opening tranche would be

small and staged, sized off realized volatility at that time, not off conviction. That decision belongs to the re-court, not to this deck.

Catalyst dates: - **2026-11-03** — likely Q3-26 print. **Unconfirmed** (derived from a data vendor, not a company announcement). Note our dated sensor pack says 2026-11-05; these disagree and one of them is wrong. - **2026-12-31** — ACO REACH terminates. **Confirmed** in the company's own 10-K. - **2027-01-01** — LEAD Model begins; participation and economics both undefined. - **February 2028** — term loan maturity. Far enough out to be irrelevant to this decision.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 55.0 (deck-provisional: lower edge of re-look band; EV/2027-core 12-14x, a clear discount to cleaner comps)
- filing watch: 8-K until 2027-02-14 (deck-provisional: LEAD Model participation announced with terms -> re-court immediately)
- dated pack AGL|2026-11-05: AGL Q3-26: HIT = Note-6 favorable development sustained AND 3.0% net risk-score assumption held AND membership stabilizing. RESOLVE: python3
- dated pack AGL|2026-11-03: AGL: likely Q3-26 print per data vendor; conflicts with our own 2026-11-05 sensor pack (date confirmed=False)
- dated pack AGL|2026-12-31: AGL: ACO REACH Model terminates; \$25-30M of the FY26 guide level sits on it (date confirmed=True)
- dated pack AGL|2027-01-01: AGL: LEAD Model begins; agilon has not committed to participating and terms are undefined (date confirmed=True)

What remains unverified

Stated plainly, because these are the reasons this is a DECLINE rather than a REJECT:

1. **LEAD Model economics.** Benchmarks, risk adjustment, quality measures, application timeline — all undefined to us. cms.gov blocked both benches. This is the single most important unknown, and it decides roughly a third of the current guide's level.
2. **The 2027 Medicare Advantage rate environment.** Not read. The 10-K contains no discussion to substitute.
3. **Magnitude of favorable development inside Q2 specifically.** The half is quantified in Note 6; the quarterly split is not broken out.
4. **Medical margin by physician-group cohort.** No such table exists in any filing. It's in the investor deck, which we couldn't fetch.
5. **Which markets and payors were exited.** Never named in the 10-K, the 10-Q, or the release. We can't tell pruning from attrition.

6. **The earnings call.** Not read by either bench. Management may have quantified things there that the filings don't.
7. **Sell-side consensus and positioning.** No estimates, no short interest, no borrow. For a squeeze-shaped name this is a real blind spot and it is the main reason the "do not short" instruction is firm.
8. **The Q3 print date.** Two of our own sources disagree, and neither is the company.
9. **Whether the 3.0% net risk-score assumption in our own sensor is what the company actually assumed.** It came out of the bench decomposition, not from a filed number. Verify it against the Q3 disclosure before grading the sensor as a hit.

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